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Consolidation and Expansion

BY 1916 THE CENTRAL BANK had taken firm root and made steady progress despite the runs provoked by rumour and malice. There was still a section of the populace which remained obsessed with proving that a bank managed by Indians was bound to fail and to this end spared no opportunity to spread rumours that would discredit the bank. As we have already noted, whenever this happened Sorabji lost no time in refuting such canards in the strongest terms.

Sorabji believed that a bank's primary role was to supply credit to stimulate economic activity. Thus, concerns which were basically sound but needed a life-line of credit to survive, invariably got it. In this connection Sorabji's association with TISCO, and the TIB is instructive. Another example was the Tata Oil Mills which was on the verge of liquidation when a chance meeting on a train saved it. Sorabji met Nowroji Saklatvala[1] (later Sir) on a train journey from Navsari to Bombay and after a lengthy discussion, suggested a solution. Both were keen to save the shareholders from a grievous loss, and above all, seemingly confirming to the skeptics the supposed incapacity of Indians to manage large industrial concerns. Sorabji proposed reconstructing the company by writing down the capital. A reconstruction scheme was applied after taking the consent of the shareholders and the company was saved.

When TISCO (now Tata Steel) was in dire financial straits, Sorabji, taking a leaf out of the Central Bank's experience advised R.D. Tata that all the Directors should mobilize their private resources to enable payment of